

Lesson 2.15: Reading the News: Why Prices Move

Unit: Unit 2, Me, My Goals, My Money (Individual Growth and Life Readiness) **Topic:** 2.4 The Gilded Age Market **Grade:** 6 to 8 (written at grade 7; see Differentiation for the grade 6 support and grade 8 stretch) **Days:** 2 class periods of 40 minutes **Room:** classroom

Standards

- NYS module line: NYS IGLR 4. Financial Readiness e) Determine ways for saving money
- CTE theme line: CTE FCL 2. Saving, Investing, and Sharing c) Explore different savings and investment tools and methods
- CTE theme line: CTE PSI 4. Research Applications in CTE b) b. Evaluating the source to determine if the author(s) or publisher can be considered an authoritative source for the desired content
- NYS FACS Learning Standard 3 (Intermediate), Key Idea: Students will understand and be able to manage personal resources of talent, time, energy, and money and make effective decisions in order to balance their obligations to work, family, and self.; Performance Indicator: Students understand the resources available to them, make informed decisions about the use of those resources, and know some ways to expand resources.
- CDOS Standard 3a Universal Foundation Skills: Managing Information
- National FCS 3.0: 3.3.4 Compare different ways to save and invest.

Enduring understanding and essential question

Big idea: A price is a crowd's opinion of what something is worth today. News changes the opinion. Some news is a fact about the company; some is noise dressed up to make you hurry. **Essential question:** When a headline says "buy now," who benefits if you do?

Objectives

By the end of this lesson, students will be able to:

1. (Low) Given a dispatch from the Gilded Age Market, identify what happened and which company it affects.
2. (Mid) Given a piece of a dispatch and a price move from the kit's price table, explain the cause and effect in one sentence using supply and demand.
3. (High) Given six headlines from 1893, judge each as fact or hype using three tests (who says it, is there a number, does it tell you to hurry) and defend one trade or one hold with a fact.

Vocabulary

Tier 2 (general academic): source, evidence, cause, effect, hype Tier 3 (FACS): dispatch, supply, demand, headline, round, hold. See the unit vocabulary list for the Spanish column.

Materials and setup

- Handout 02.14 - The Gilded Age Market Kit.md (teacher): page 2 for the Round 3 and Round 4 prices, page 3 for the dispatches
- Handout 02.19 - Paper Ledger.md (student), in the FACS folder from Lesson 2.14
- Handout 02.15 - News Card and Price Change.md, one per pair (Part A on Day 1, Part B on Day 2)
- Investor Journal from Lesson 2.14, in the folder
- Slides: Slides 02.15 - Reading the News Why Prices Move
- Exit cards
- Setup notes: the price table on the board should show Rounds 0, 1 and 2 filled in and Round 3 empty when students walk in on Day 1; Round 4 empty on Day 2. Read the Round 3 and Round 4 dispatches in advance, once fast and once slow. Copy the Round 2 dispatch onto a slide or chart paper for the Day 1 do now.

Pre-assessment

The Day 2 exit cards from Lesson 2.14 tell you who can read the ledger. The Day 1 do now tells you who reads a dispatch for meaning and who only reads the first line; count the students who cannot name the company the dispatch affects.

Do now and hook (Time: 4 min, Day 1)

On the board, the Round 2 dispatch (1882) projected in full. “Read it again. Write: what happened, and which companies care.”

Debrief: cold call three students for the companies (OIL, ELEC, RAIL). Then the hook: point at the price table. “RAIL went 50, 30, 45. OIL went 10, 12, 30. Nobody in this room made those numbers. They moved because a great many people heard news like this and decided the same thing at the same time. Today you learn to read the news the way they did, and to know when the news is lying.”

Procedure

Step	Teacher will	Students will	Time
Day 1, 1. Direct instruction: supply and demand, and the three tests	Slide 3, one picture: a company has a set number of shares. Lots of buyers and few sellers, the price goes up. Lots of sellers and few buyers, the price goes down. That is all. Slide 4, the four kinds of news the class has already	Copy the two-line rule, the four kinds of news and the three tests onto the journal's My notes page.	8 min

	heard: a bank fails and the borrowing stops (RAIL fell in 1873); people still need light (OIL and GAS rose a little in 1873); one company controls almost all of a thing (OIL rose the most in 1882); a new invention arrives (ELEC joined the board in 1882). The bank ignores the news. Then slide 5, the three tests for a headline: who says it (a named company, a court, Congress, a dated report passes; “everyone” or “insiders” fails), is there a number (a date, a percent, a count passes), does it tell you to hurry (“now,” “before it is too late” fails). Two of three fails and it is hype. Students will use the tests tomorrow; today they only copy them.		
Day 1, 2. Learning activity: News Card and Price Change, Part A	Pairs get the handout. Part A: eight pieces of the dispatches from 1873 and 1882 and eight price moves from the board, shuffled. Match each card to the move it caused and write	Match, write eight sentences, check with a neighboring pair.	8 min

	the cause and effect sentence: “ ___ happened, so more people wanted to , so the price went .” Circulate with the clipboard check. Debrief two matches: the easy one (Jay Cooke’s bank and RAIL) and the one most pairs miss (the two cards about light, which both point to small rises).		
Day 1, 3. Round 3, 1893: the Panic of 1893	Write “1893” at the top of the Round 3 column and nothing else. Ask for one prediction on Entry 3: which company on my ledger is most at risk if there is another panic, and why (use the card). One minute. Then write the prices: RAIL 25, OIL 28, GAS 24, ELEC 10. Students pay the bank interest and work out their totals. Read the Round 3 dispatch aloud and put its question to the room: a friend who put every dollar into railroads and a friend who split it four ways; which one is still standing? Four minutes of trading. Circulate.	Write the prediction. Pay the interest. Fill the Round 3 column and the total. Listen. Check the prediction against the board. Trade or hold; log every trade.	10 min

Day 1, 4. Investor Journal, Entry 3	Set the prompt: what I did, why (name the dispatch), what happened. Add today's extra line: the prediction I made and whether it came true.	Write Entry 3 with the total in dollars.	6 min
Day 1, closure	See Closure.		4 min
Day 2, do now	On the board, two headlines about the same year: one plain ("In February 1893 the Philadelphia and Reading Railroad, one of the biggest, goes bankrupt.") and one loud ("RAILROADS ARE FINISHED. Everyone is selling. Get out NOW before you lose it all."). "Which one would you trust with your money? One reason."	Write.	4 min
Day 2, 5. Direct instruction: fact vs hype	Slide 11: score the two do now headlines on the three tests. The plain one: a named railroad, a date, no hurry, three points, fact. The loud one: nobody, no number, "NOW," zero points, hype. Say the rule that matters for real life: a headline that tells you to hurry is written by someone who wants your money to move today. Show one	Score the two do now headlines with the tests on the journal's My notes page.	7 min

	example from the present without a company name: a post online that says “this stock is going to the moon” with no number and no source. Same test, same answer.		
Day 2, 6. Learning activity: Part B, fact or hype sort	Pairs do Part B: six headlines from 1893, three of them pieces of the real dispatches and three of them made up to sound urgent. Score each on the three tests, label fact or hype, and for each fact write what a careful investor would do (buy, sell, hold, or wait for more). Debrief the two that split the room.	Score, label, decide. One pair defends a “hold” with a fact.	9 min
Day 2, 7. Round 4, 1901: the first billion dollar company	Write the Round 4 column: RAIL 60, OIL 40, GAS 30, ELEC 40, and a new line, STEEL 40. Students pay the interest and work out their totals. Read the Round 4 dispatch aloud. Before the trading starts, ask one student to run the three tests on the dispatch’s first sentence out loud. Put the kit’s question to the room: US Steel is	Pay the interest. Fill the Round 4 column. Run the tests. Trade or hold. Log every trade; note trades on Entry 4.	10 min

	brand new and enormous; is new and enormous the same as safe? Four minutes of trading.		
Day 2, 8. Investor Journal, Entry 4	Prompt: what I did, why, what happened, plus: one headline I ignored today and which test it failed.	Write Entry 4 with the total in dollars.	6 min
Day 2, closure	See Closure.		4 min

Day 1 totals 40 minutes: 4 + 8 + 8 + 10 + 6 + 4. Day 2 totals 40 minutes: 4 + 7 + 9 + 10 + 6 + 4.

Questions to ask

Monitor understanding:

- The dispatch says a bank that lent to the railroads closed its doors. Which company moves, and which way?
- More sellers than buyers: what happens to the price?
- The headline has no number and says “act fast.” How many tests did it fail?

Deepen learning:

- The same panic sent RAIL down 20 and OIL up 2. Why did one piece of news move two companies in opposite directions?
- A dispatch is good news for OIL. Is it good news for you if you already own OIL? What if you were about to buy it? What if you buy kerosene for your lamp?
- Where do adults you know get money news? Would those sources pass the three tests?

Check for understanding

Day 1, Step 2: clipboard yes or no per pair on “matched at least six of eight” and “cause and effect sentence names the direction.” Day 2, Step 6: yes or no on “labels all six” and “gives a test as the reason.” A “got it” answer sounds like: “Hype. No source, no number, and it says now.”

Closure (Time: 4 min each day)

Day 1: two students read the prediction line from Entry 3. Exit card: “Write one company from today’s dispatch and the price move it caused. Was it what you predicted?” Sort into “got it” (names the company and the direction) and “needs more.” Day 2: exit card, 3-2-1: 3

tests for hype, 2 headlines you labeled today, 1 rule you will use with real news. Three students read a “1” aloud. The “needs more” pile (fewer than three tests named) gets the three-test card in the folder before Lesson 2.16.

Differentiation and supports

- ELL: the news cards are short pieces of dispatches the class has already heard read aloud twice, with the year and the ticker on every card; the cause and effect sentence is a frame with blanks; the three tests are three icons (a mouth, a number sign, a running figure) on the slide and the handout; sentence starters in the journal (“The news said, **so** ”); pair with a partner who can read the dispatch aloud.
- IEP and 504 (general): Part A can be done with cards physically matched on the desk and only four sentences written; extended time by finishing Part B at the start of Lesson 2.16; the trading has no writing requirement beyond the trade log line; a student who finds the board distracting can work the ledger with the handout folded over the price table.
- Grade 6 support: Part A uses six cards, not eight; the cause and effect frame has the direction word pre-filled for the first two; Part B is four headlines.
- Grade 8 stretch: the pair writes one hype headline of its own about a company on the board and trades it with another pair to score; on Day 2 the student finds one real financial headline at home (no purchase, no login) and runs the three tests on it for Entry 4.
- UDL checkpoint used: multiple means of representation (a dispatch as text read aloud, a price table as numbers, an icon on every test) and multiple means of action and expression (matching cards, writing a frame, predicting aloud).
- No-kitchen or no-machine alternative: not needed; the market runs on paper and a board. Part A and Part B are on paper already.

Assessment

Objective	Standards met	Learning task	Assessment (formative or summative; tool)
1. Identify what happened and which company	FCL 2. c); CDOS 3a Managing Information	Do now Day 1; the Round 3 prediction	Formative; cold call and clipboard
2. Explain cause and effect with supply and demand	FCL 2. c); Std 3 PI B; National FCS 3.3.4	Handout Part A, Day 1 Step 2	Formative; handout checked for six of eight matches with a direction sentence
3. Judge fact vs hype and defend a trade or hold	PSI 4. b) b.; IGLR 4. e); Std 3 PI B	Handout Part B, Day 2 Step 6; Entries 3 and 4	Formative now; summative on Rubric 02 criterion 2 (analysis and decision making), where “names the

			dispatch” is the Meets descriptor
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Homework

None. Optional: bring in one headline about money (a screenshot or a sentence copied down, no link needed) and be ready to run the three tests on it.

Connections

ELA: the three tests are the same source evaluation the ELA teacher uses for research; FACS gives ELA a live example, ELA gives FACS students who already know the word “source.” This is also the same skill as Lesson 1.12 (Is This Food Video True), and students should hear that connection. Social studies: the Panics of 1873 and 1893 and the Sherman Antitrust Act are on the board this week; if the social studies teacher covers them this year, trade dates.

Sources

- NYS Middle Level CTE FACS Content Module 01, Individual Growth and Life Readiness, line 4. e).
- NYS Middle Level CTE Theme Module 03, Financial and Consumer Literacy, line 2. c); Theme Module 05, Problem Solving and Innovation, line 4. b) b.
- NYS FACS Standard 3, Intermediate; CDOS 3a Managing Information; National FCS 3.0 competency 3.3.4, all per 02 Standards/STANDARDS CROSSWALK.md.
- My own materials: Handout 02.14 - The Gilded Age Market Kit.md (the dispatches on page 3 and the price table on page 2; every date and figure in this lesson comes from there) and Handout 02.19 - Paper Ledger.md.

Teacher notes

- If Day 1 runs short, cut Part A to five matches and skip the debrief; take the missed match into the Day 2 do now. Never cut Round 3; students who did not live through the Panic of 1893 have no entry to write, and Lesson 2.16 is built on it.
- The dispatches are in the kit and tied to the round, so the story is the same every year and every period. Read the day’s dispatch twice before class so you know which sentence carries the price move.
- Keep the order of the round: prices first, then the dispatch. The prediction in Round 3 works because students have only the year and their cards to go on.
- Common mistake: students sell on every bad dispatch and buy on every good one, four trades in four minutes. That is fine this week; it produces the panic in October 1929 that the topic is built around. Do not stop it. Do ask, at the desk, “What did that trade cost you between the price you sold at and the price you bought back at?”
- The hype headlines in Part B and the Day 2 do now are written by me for the game. Say so after the sort. Every other sentence on the handout is from the kit.